

Rebates

268. Having received representations from independent makers about the effect on their competitive position of C.M.A. and C.C.A. exclusive and other aggregated rebates, we obtained information about the amounts actually allowed by way of rebate, as shown by the following table:—

<i>Year</i>						<i>Rebates allowed</i>
						£'000
1947	...	...	...	...	...	2,450
1948	...	...	...	...	...	2,200
1949	...	...	...	...	...	1,950

Net sales (i.e. after deducting the amount of rebate allowed and cash discount) which attracted rebates in 1948 were just under £20 million. We are unable to give similar information for 1947 and 1949. It is clear that rebates are an important feature of the trading methods of the C.M.A. and the C.C.A. for certain types of cable.

CHAPTER 15 : CONCLUSIONS AS TO THE CONDITIONS DEFINED IN THE ACT

269. Under our terms of reference we are required to report whether conditions to which the Act applies in fact prevail as respects the supply of insulated electric wires and cables in the United Kingdom. The members of the C.M.A. and of the C.C.A. in 1948 together supplied approximately 76·5 per cent. by value of the total supply of cables in the United Kingdom. In 1950 the figure was 74·1 per cent. In addition, there are 7 companies either associated with the C.M.A. or C.C.A. or collaborating with members of those associations who, together, supplied at least 6·2 per cent. in 1948 (6·0 per cent. in 1950). All these manufacturers together supplied about 82·7 per cent. of the total supply in the United Kingdom in 1948 and 80·1 in 1950. From what we say in Chapters 5 to 9 it is clear that the members of the C.M.A. and the C.C.A. and their associated and subsidiary companies so conduct their affairs as to restrict competition in connection with the supply of cable. For these reasons, we conclude that the conditions to which the Act applies prevail in that the members of the C.M.A. and the C.C.A. together supply more than one-third of the total supply of insulated electric wires and cables in the United Kingdom, and that they so conduct their affairs as to restrict competition in the supply of these goods.

CHAPTER 16 : CONCLUSIONS ON THE PUBLIC INTEREST

270. In an industry in which quality is of supreme importance, British cable makers have gained a reputation which is world-wide. The United Kingdom has been the leader in cable development and production, and to-day the British industry claims to have the biggest cable export trade in the world—a trade which produces large sums in foreign exchange, not only directly, but also from installation work. Though the production of first-quality cable is by no means confined to C.M.A. companies, the C.M.A. has played a predominant part in establishing the reputation and the export trade of the British industry.